

$$\{\hat{R}, \hat{\nabla}\} = \arg \min_{R, \nabla} \left(\sum_{i=20,40,60,80} (w_i(R, \nabla) - \omega_i)^2 \right)^{\frac{1}{2}}$$

subject to the constraint that the aggregate capital-to-output ratio in this model matches the calibrated value 3. Note that w_i and ω_i represent the porportion of total aggregate net worth held by the top i percent in the model and in the data, respectively. The estimation procedure yields the optimal values of $R = 1.0204$ and $\nabla = 0.06833$ which pin down the estimated uniform distribution. The Lorenz curve associated with the wealth distribution from the model and the SCF data are compared in figure 1.1.

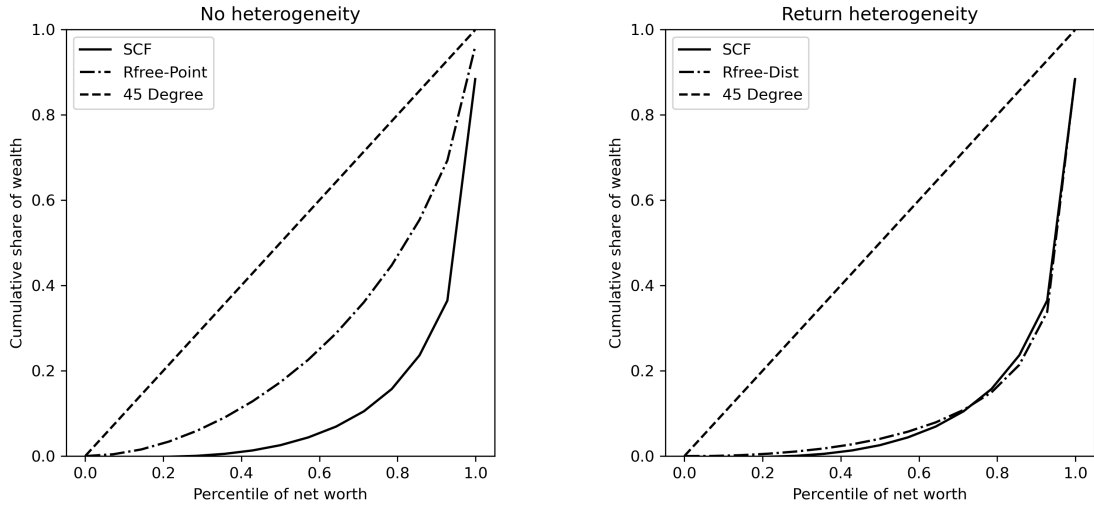


Figure 1.1: Comparison of R-Point and R-Dist Models.

The 45 degree line represents perfect equality. Lorenz curves further away from this line represent more unequal distributions of wealth. As we can see from the figure, the Lorenz curve generate by allowing for heterogeneous returns does a much better job at matching the shape of the SCF wealth distribution than when everyone earns